US: Corporate deals to remain a feature of Trump tariffs

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With President Donald Trump’s administration using tariffs as a source of leverage over global companies as well as governments, corporate bargaining for exemptions has become a structural feature of the administration's trade policy.
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Although a Democratic-controlled Congress will scrutinize this practice more closely, a framework of corporate agreements in exchange for tariff relief will likely continue for the remainder of Trump’s term.
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The Trump administration will continue to use tariffs to secure other objectives beyond the scope of trade, such as onshoring commitments and pricing plan deals.

Corporate bargaining has become a key feature of US tariff policy. The US has become increasingly willing to use tariffs as a source of leverage over global corporations, as well as governments. A more interventionist approach has been a policy feature since the start of President Donald Trump’s second term. Apple’s onshoring commitment in response to Trump’s tariff threats was one early example. However, the approach has shifted from more targeted tariff threats against certain US firms to a broader use of tariffs and corporate exemptions to obtain leverage over global corporations doing business with the US.

Firms should expect bargaining to continue to extend to non-trade issues. Onshoring plans have been one of the main concessions sought by the Trump administration, but firms may also want to consider other areas, such as pricing and sourcing, when engaging in negotiations.

Corporate deals will receive more scrutiny post-midterms. Democratic control of Congress will result in investigations into deals between the Trump administration and corporations, including agreements to avoid tariffs (see: Democratic investigations likely to target defense, tech, and financial firms , 5 November). Pharmaceuticals, the sector with the broadest company-specific exemptions from tariffs so far, will likely face a congressional push for increased transparency, given the lack of public disclosure of agreement terms. Investigations beyond tariffs will also influence corporate approaches toward dealmaking and the willingness to offer different types of concessions.

However, corporate exemptions will likely remain an important part of the tariff framework. Affordability concerns were a key driver of voter backlash at the midterms. A framework that exchanges tariff relief for lower consumer prices will therefore likely maintain broad support and remain largely intact despite increased congressional scrutiny. Lawmakers could also use congressional testimony to pressure firms to honor their commitments. Both Democrats and Republicans will have incentives to preserve the pricing deals and onshoring commitments secured through tariff negotiations beyond 2028.

Corporate exemptions are available for a widening range of products. Before exemptions, Section 232 tariffs apply to 40% of total US imports across eight product categories. Tariffs on four of those categories—pharmaceuticals, drones, aluminum, and polysilicon, which account for 12% of US imports—include provisions for company-specific bargaining on some products. Some programs also offer preferential tariff treatment that is not company-specific and applies to any qualifying import meeting certain US production or US-Mexico-Canada Agreement (USMCA) compliance criteria. That preferential treatment, based on US manufacturing or USMCA criteria, will likely be an enduring feature of US tariff policy.

Company deals can now deliver greater tariff relief than country deals. Provisions in recent drone and pharmaceutical tariffs allow qualifying companies to reduce duties on affected imports from 100% to zero. As a result, corporate bargaining and preferential country rates now create greater variation within Section 232 tariffs than across country-level tariffs in most cases; for example, the primary source of country tariffs, Section 301 forced-labor, sets duties at either 10% or 12.5%.

The breadth of pharma tariff exemptions materially reduces their impact. Pharma is the largest tariff program with corporate exemptions. In addition to carveouts for generic and specialty products and preferential rates for certain countries, the administration has announced deals with 26 firms, exempting 89% of US-branded pharma imports.

Large pharma companies, UK firms, and deal countries will derive a competitive advantage from this framework. Tariff exposure falls mainly on branded or innovative products imported by companies with neither most-favored-nation nor qualifying onshoring commitments; these will mostly be small- to mid-size biotech firms that rely primarily on imports and don’t have sufficient local manufacturing presence. The UK faces no Section 232 tariffs, while the EU, Switzerland, Japan, South Korea, and Liechtenstein benefit from a maximum 15% rate. This arrangement may give UK firms a competitive edge in the short- to medium-term as companies without deals with the US government seek to establish manufacturing in a zero-tariff jurisdiction for exports to the US market. Singapore faces a greater impact because branded pharmaceuticals are a significant share of its exports to the US. Even so, broad corporate exemptions will reduce the overall effect.

Pharma tariffs only modestly lift the overall US average effective tariff rate (AETR) by 0.2 percentage points to 10.9%. Our analysis incorporates country-level estimates of the share of generic and specialty drugs and assumes that 89% of branded pharmaceutical imports are duty-free. Our updated estimates for current and historic AETRs also incorporate a revised methodology for data center-related exemptions and adjustments based on actual duties, lowering our current AETR estimate by 0.6 percentage points.

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